

Export rollercoaster: India's goods shipments drop, but non-oil exports sail smoothly

India's goods exports **slid** for the third **consecutive** month. Blame it on lower petro prices. But non-oil exports are up a decent 14.5% to \$32.9 bn. Export **diversification** is one reason for good **tidings**. High value-added electronic exports are **pushing the frontier** outwards, while traditional leaders such as engineering goods and pharmaceuticals are displaying good **momentum**. **Soft prices** of oil **cuts both ways** by reducing export as well as import value, although the impact is higher on the former. The energy market has turned nervous over threats of US tariffs affecting **merchandise** trade overall. Rise of the dollar is **mirroring** this **sentiment**. India's energy imports are sensitive to the rupee's slide, which may not provide adequate protection to exports if the US were to **impose reciprocal** tariffs.

Further diversification would be required to **sustain** the recent momentum of India's manufacturing exports. Trade **fragmentation** would disadvantage exports by creating oversupply in India's export markets and could also **spill over** into **dumping at home**. **Scope** to reduce import tariffs **is** limited in this **scenario**. New Delhi will need a strategic response to Washington's efforts to balance bilateral trade. **Committing** to tariff cuts on, say, autos **would** ease entry of Chinese cars along with those made in the US. Energy and arms imports provide an opportunity to **address** US concerns, while **retaining** a **degree** of protection India **is** comfortable with.



Another area of focus is to raise investment in domestic manufacturing through export incentives. This is not as controversial in a global trading order **obsessed with** import duties. This **aids** the **secular** diversification of product categories and export markets. **PLIs** across a broader **portfolio** of industries **must** be **fine-tuned** to **replicate** the success of electronic exports. All of this must be **accomplished** while global merchandise trade finds a new **equilibrium**. India must be both strategic and **swift** with its policy **intervention** over manufacturing exports. It has some **leeway**, but not much, due to slower **de-globalisation** of trade in services. **[Practice Exercise]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

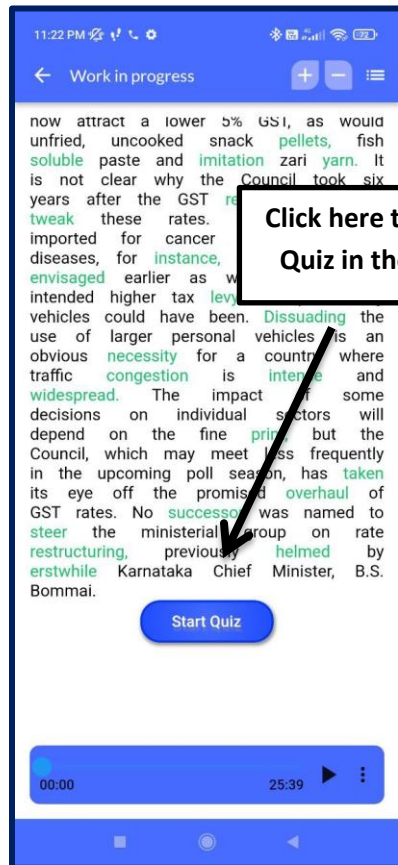
1. **Roller coaster** (noun) – Ups and downs, Fluctuation, Instability, Turbulence, Variability उतार-चढ़ाव
2. **Sail** (verb) – Progress, Move, Glide, Advance, Navigate आगे बढ़ना
3. **Slide** (verb) – Decline, Drop, Fall, Decrease, Slip गिरावट आना
4. **Consecutive** (adjective) – Successive, Continuous, Sequential, Uninterrupted, Back-to-back लगातार
5. **Diversification** (noun) – Variety, Expansion, Variation, Broadening, Spread विविधीकरण
6. **Tiding** (noun) – News, Information, Report, Update, Development समाचार
7. **Push the frontier** (phrase) – Expand boundaries, Extend limits, Broaden horizons, Advance, Innovate सीमाओं को आगे बढ़ाना
8. **Momentum** (noun) – Drive, Impetus, Force, Energy, Speed गति
9. **Soft price** (noun) – a price that slowly goes down over time कम कीमत
10. **Cut both ways** (phrase) – Have dual effects, Be double-edged, Impact both sides, Be ambiguous, Be mixed दोनों तरफ असर डालना
11. **Merchandise** (noun) – Goods, Products, Commodities, Items, Wares माल
12. **Mirror** (verb) – Reflect, Echo, Imitate, Copy, Represent प्रतिबिंबित करना
13. **Sentiment** (noun) – Feeling, Emotion, Attitude, Opinion, Mood भावना
14. **Impose** (verb) – Enforce, Levy, Apply, Introduce, Inflict लागू करना
15. **Reciprocal** (adjective) – Mutual, Corresponding, Equivalent, Complementary, Bilateral पारस्परिक
16. **Tariff** (noun) – Duty, Tax, Levy, Charge, Fee शुल्क
17. **Sustain** (verb) – Maintain, Continue, Uphold, Support, Preserve बनाए रखना
18. **Fragmentation** (noun) – Division, Disintegration, Splitting, Breakdown, Separation विखंडन
19. **Spill over** (phrasal verb) – Overflow, Spread, Extend, Escalate, Affect फैलना
20. **Dumping** (noun) – the selling of goods in quantity at below market price
21. **At home** (phrase) – Domestically, Locally, In the country, Nationally, Internally देश में

22. **Scenario** (noun) – Situation, Context, Circumstance, Condition, Case परिदृश्य
23. **Address** (verb) – Tackle, Handle, Deal with, Confront, Resolve सुलझाना
24. **Degree** (noun) – Level, Extent, Measure, Amount, Intensity सीमा
25. **Obsess** (with) (verb) – Preoccupy, Consume, Dominate, Fixate, Haunt ग्रस्त होना
26. **Aid** (verb) – Help, Assist, Support, Facilitate, Boost सहायता करना
27. **Secular** (adjective) – Long-term, Ongoing, Persistent, Continuous, Enduring दीर्घकालिक
28. **Portfolio** (noun) – Collection, Range, Assortment, Group, Set पोर्टफोलियो
29. **Fine-tune** (verb) – Adjust, Refine, Modify, Calibrate, Optimize ठीक करना
30. **Replicate** (verb) – Copy, Duplicate, Reproduce, Mimic, Repeat दोहराना
31. **Accomplish** (verb) – Achieve, Complete, Fulfill, Execute, Realize पूरा करना
32. **Equilibrium** (noun) – Balance, Stability, Harmony, Symmetry, Poise संतुलन
33. **Swift** (adjective) – Quick, Rapid, Fast, Immediate, Prompt तेज
34. **Intervention** (noun) – Involvement, Interference, Mediation, Action, Intrusion हस्तक्षेप
35. **Leeway** (noun) – Flexibility, Freedom, Margin, Room, Space छूट
36. **De-globalisation** (noun) – Localization, Nationalization, Isolation, Protectionism, Fragmentation वैश्वीकरण का कम होना

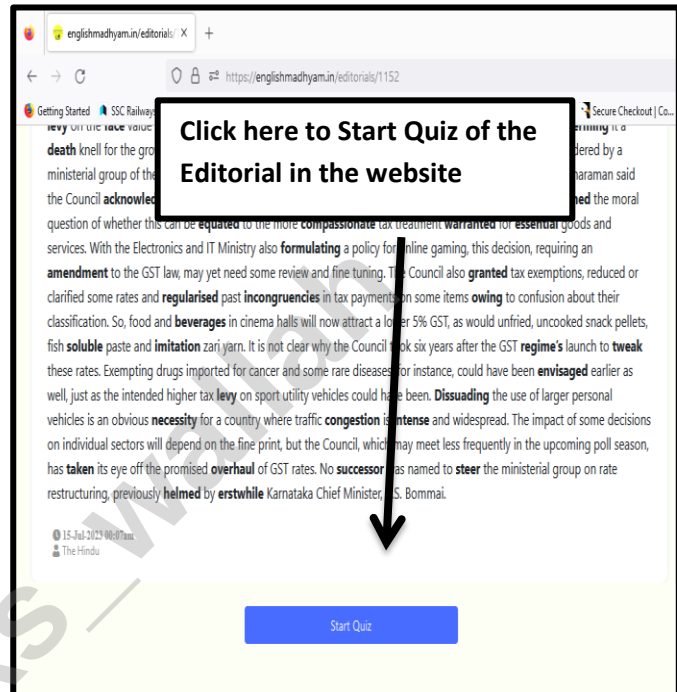
Summary of the Editorial

1. **Goods Exports Decline:** India's goods exports fell for the third consecutive month, primarily due to lower petroleum prices.
2. **Non-Oil Exports Growth:** Non-oil exports rose by 14.5% to \$32.9 billion, driven by diversification and high-value-added products.
3. **Electronics Exports Surge:** High-value electronics exports are expanding, contributing significantly to export growth.
4. **Traditional Sectors Perform Well:** Engineering goods and pharmaceuticals, traditional export leaders, continue to show strong momentum.
5. **Oil Price Impact:** Soft oil prices reduce both export and import values, with a more pronounced effect on exports.
6. **Energy Market Nervousness:** Threats of U.S. tariffs and a rising dollar have created uncertainty in global energy markets.
7. **Rupee Sensitivity:** The rupee's slide affects energy imports but may not fully protect exports if the U.S. imposes reciprocal tariffs.
8. **Need for Diversification:** Further diversification of manufacturing exports is essential to sustain growth momentum.
9. **Trade Fragmentation Risks:** Fragmentation in global trade could lead to oversupply in export markets and potential dumping in India.
10. **Limited Tariff Reduction Scope:** Reducing import tariffs is challenging, as it could open the door for Chinese and U.S. auto imports.
11. **Strategic Trade Response:** India needs a strategic approach to address U.S. trade concerns, particularly in energy and arms imports.
12. **Export Incentives:** Increasing investment in domestic manufacturing through export incentives can aid diversification.
13. **PLI Scheme Expansion:** Expanding the Production-Linked Incentive (PLI) scheme to more industries can replicate the success of electronics exports.
14. **Global Trade Equilibrium:** India must adapt its policies as global merchandise trade seeks a new equilibrium.
15. **Policy Urgency:** Swift and strategic policy interventions are needed to capitalize on opportunities in manufacturing exports, given the slower de-globalization of trade in services.

Practice Exercise: Banking Pattern Based

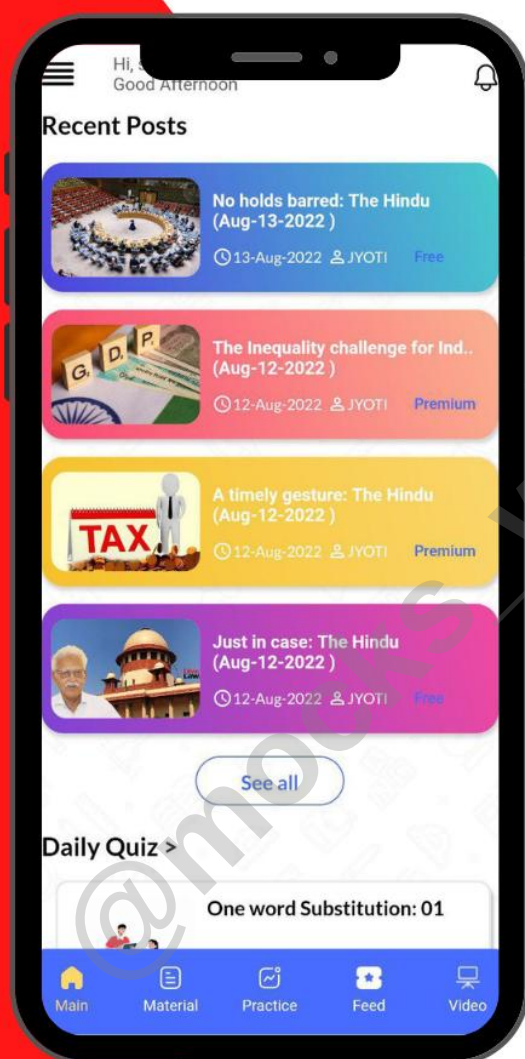


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